THE NATIONAL COMPANY LAW TRIBUNAL

PRINCIPAL BENCH,

AT NEW DELHI

COMPANY PETITION NO. (CAA)-58 (PB) 2018

Connected with

COMPANY APPLICATION NO. (CAA) 150 (PB) 2017

Judgment dated: 04.01.2019

Coram:

CHIEF JUSTICE (Rtd.) SHRI M.M. KUMAR,

HON'BLE PRESIDENT

&

MR. S.K. MOHAPATRA,

MEMBER (TECHNICAL)

In the matter of:

Sections 230-232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016.

IN THE MATTER OF:

SCHEME OF ARRANGEMENT

BETWEEN

DLF Homes Developers Limited

Petitioner No.1/Demerged Company

AND

DLF Info City Chennai Limited

Petitioner No.2/Resulting Company

For Petitioners : Dr. U.K. Chaudhary, Sr. Adv; Mr. Naveen Dahiya, Ms. Manisha Chaudhary, Mr. Himanshu Vij & Mr. Himanshu Handa, Advocates

For Income Tax : Ms. Lakshmi Gurung, St. Counsel
Ms. Esha Kadian, Advocate
Ms. Ajit Sharma, Advocate

For Regional Director,(NR), Delhi : Mr. C. Balooni, CP

ORDER

M.M. KUMAR, PRESIDENT

1. This Joint application has been filed by the Petitioner Companies under Sections 230 to 232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 and the National Company Law Tribunal Rules, 2016, for the purpose of the approval of the Scheme of Arrangement by way of demerger of Demerged Undertaking of Demerged Company and vesting it into the Resulting Company. The copy of the Scheme has been placed on record.

2. A perusal of the petition discloses that initially the First Motion application seeking dispensation from convening the meeting of Shareholders and Creditors was filed before this Bench and based on such joint application moved under Sections 230-232 of the Companies

Act, 2013, this Tribunal vide its order dated 02.02.2018 issued directions to convene meetings of secured and unsecured creditors of the demerged company. In respect of shareholders, secured creditors and unsecured creditors of Resulting Company and Secured Creditors and Shareholders of Demerged Company, the requirement to convene their respective meetings were dispensed with.

3. On 21.05.2018the Petitioners were directed to carry out publication in the newspapers English Daily 'Indian Express' (Delhi edition) as well as in Hindi Daily 'Jansatta'(Delhi edition). In addition to the public notice, notices were directed to be served on the Regional Director (Northern Region), Registrar of Companies, NCT of Delhi and Haryana, Official Liquidator, the Income Tax Department and to the other relevant sectoral regulators.

4. It is seen from the records that the Petitioners have filed an affidavit dated 23.06.2018affirming compliance of the order passed by the Tribunal dated21.05.2018. A perusal of the affidavit discloses that the petitioners have effected the newspaper publication as directed in English Daily 'Indian Express' (Delhi Edition)as well as in Hindi Daily 'Jansatta'(Delhi Edition)on 06.06.2018in relation to the date of hearing of the petition. Further, the affidavit also discloses that copies of petition were duly served to the Registrar of Companies, Regional Director, Northern Region and Income Tax Department in compliance of the

order and in proof of the same acknowledgements by the respective offices have also been placed on record.

5. The Regional Director has filed its representation dated 03.07.2018 and has observed that, firstly, as per clause 9 of section F of the scheme, there is a discrepancy between the appointed date and the date on which scheme is to take effect. This, the RD has submitted, is contrary to the provisions of Section 232(6) of the Companies Act, 2013. It has also been pointed out that the Share entitlement Ratio Report of the Chartered Accountant is dated 29.11.2017 while appointed date of the scheme is 01.04.2018. Therefore, the financial impact of the business carried on after 29.11.2017 by the two companies is not factored in the said Share entitlement Ratio Report. Secondly, the Regional Director has submitted that the petitioner companies should comply with provisions of Section 232(3) (I) of the Companies Act, 2013 and be further directed to furnish a verified statement regarding fees payable, if any, for addition of the authorized share capital along with an undertaking for payment of the said fees.

6. In response of the aforesaid observations of the Regional Director, the petitioner companies filed their a rejoinder affidavit dated 20.07.2018 and submitted that firstly, the said clause 9 of the Scheme does not make any differentiation between the appointed date and the date on which the

Scheme is to take effect, contrary to the provisions of Section 232(6) of the Companies Act, 2013. It was submitted and clarified that clause 9 of Section F of the Scheme is merely a transitional clause which only provides for the manner in which the Demerged Company would carry on its business activities during the transitional period of appointed date and the date of sanction of the Scheme by the Tribunal. In fact, clause 3 of the Scheme clearly provides that the Scheme would come into legal operations from the later of the *(a) appointed date and (b) such other date as may approved by the Hon'ble Tribunal.* The said clause 3 of the Scheme also categorically clarifies that the phrase coming into effect or 'becoming effective, in the context of the Scheme, means the date on which Scheme is to come into legal operation in the manner stated as above. Accordingly, the said Clause 9 of Section F of the Scheme is only clarificatory in nature and is not contrary to the provisions of Section 232(6) of the Companies Act 2013.

Further, in para 9 of the Affidavit, the Regional Director had stated that "the Share Entitlement Ratio Report of the Scheme is 01.04,2018 and therefore, the financial impact of the business carried on or after 29.11.2017 by the two companies was not factored in the Share Entitlement Ratio Report dated 29.11.2017." In response to the said observation, the Petitioner Companies submitted that the Clause 1(VII) of part B of the Scheme clearly provides that all proprieties, assets and

liabilities of the Demerged Undertaking would be transferred on a 'Going Concern' basis and the Share Entitlement Ratio Report has been prepared in accordance with the prevailing and generally accepted accounting principles. Therefore, the Share Entitlement Ratio would not be materially affected unless there are substantial changes in the Financial Position and business of the Petitioner Companies. The Petitioner Companies have confirmed that as on date the changes in the financial position and business of the Companies are only in ordinary course of business and except such changes there are no other changes. Moreover, all shareholders/members of all companies are satisfied with valuation and have no objection whatsoever and approved the Scheme and valuation set out herein.

It is also pertinent to note that even Ld. Regional Director has also not pointed any material issue in the Share Entitlement Ratio Report. Further the shareholders who are to get shares as per the said Share Entitlement Ratio Report have given 100% consent to the said Share Entitlement Ratio Report. It is seen that the present scheme is a part of 'Group Restructuring' wherein the SEZ undertaking of the Demerged Company is being merged into the Resulting Company which is at present is a wholly owned subsidiary of the Demerged Company. Post sanction of the Scheme, the Resulting Company would allot shares to the shareholders of the Demerged Company which are also part of Group.

There are no outsider shareholding of the Petitioner Companies. Therefore, it was submitted that the aforesaid concern of the Ld. Regional Director is adequately taken care of while preparing the Share Entitlement Ratio Report.

Further and as per the second observation raised by the Regional Director, the Petitioner Companies undertakes to comply with the provisions of Section 232(3)(i) and undertakes to pay any further fee, if required to be paid in accordance with law.

7. The Regional Director then filed an additional representation on 06.08.2018 and submitted that it is clearly stated in the scheme that the scheme would become effective from the effective date which is defined as a date subsequent to the Appointed Date. Section 232(6) of the Companies Act 2013 provides that "The scheme under this section shall clearly indicate as appointed date from which it shall be effective and the scheme shall be deemed to be effective from such date and not at a date subsequent to the appointed date." Therefore, the scheme cannot be effective subsequent to the appointed date.

Regional Director also submitted that in the Share Entitlement Ratio Report, the Chartered Accountant took cognizance of the state of affairs as prevailing on a date prior to the Appointed Date. He submitted that the impact of further functioning of the Transferor and Transferee Companies between the date on which the valuation was ascertained and

the appointed date was therefore not factored in the valuation for ascertaining the share entitlement, making such valuation inappropriate and irrelevant. Reliance has also been placed on the judgement of Hon'ble Supreme Court in *G.L. Sultania and Another v. SEBI & Another* [Civil Appeal No.1672 of 2006 decided on 16.05.2007].

8. With respect to the observation of the Regional Director, the stand taken by the applicant company is that the date of financial statement is required for share valuation and the appointed date is only for the purpose of giving effect to the proposed amalgamation. These two dates can be different as the Scheme is overwhelming as it is approved by all the stakeholders in respect of the Companies. Further it may not be possible for us to overlook the wisdom of stakeholders while accepting the share exchange ratio and it would not be possible for us to enter into the commercial wisdom of stakeholders unless we find that it is against public interest. Once the share exchange ratio has been worked out by taking into consideration a well-known method and also approved by majority shareholders and financial institutions, the fact that the appointed date for implementation of the Scheme was different from the date of audited financial accounts would pale into insignificance. For the reasons aforesaid we do not find any strength in the observations made by Regional Director.

In the case of *Hindustan Lever Employees Union Vs. Hindustan Lever Limited* [(1995) 5 SCC 491] a three-judge bench of Hon'ble Supreme Court held that "*a company court does not exercise appellate jurisdiction over a scheme and its jurisdiction is limited to ascertaining fairness, justness and reasonableness of the Scheme and to ensure that neither any law has been violated or public interest compromised in the process.*"

The shareholders of the petitioner companies are the best judge of their interest, fully conversant with market trends, and therefore, their decision should not be interfered with by this Tribunal for the reason that it is not a part of judicial function to examine entrepreneurial activities and their commercial decisions.

9. The Income Tax Department has filed its report on 11.10.2018 and submitted its no objection against the proposed demerger. However, in para 4(a), the Report states that assessment proceeding is pending in the case of Petitioner No. 1 for A.Y. 2016-17.

10. The petitioner companies have filed affidavit dated 20.10.2018 and submitted that the sanctioning of the Scheme would not in any manner affect the pending assessment proceedings. Sanctioning the Scheme ipso-facto would not grant any immunity to any company involved in the Scheme qua any liabilities including tax liabilities that may be

imposed under the relevant provisions of Income Tax Act or any other statute, in accordance with law. The petitioner companies have already filed an undertaking regarding payment of any pending or future tax liability.

In addition, it is further clarified that there shall be no limitation on the power of the Income tax Department for recovery of pending Income Tax dues, including imposition of penalties etc. as provided in law.

11. In the joint petition it has also been affirmed that no proceeding for inspection, inquiry or investigation under the provisions of the Companies Act, 2013 or under provisions of Companies Act, 1956 is pending against the Petitioner Companies.

12. Certificates of respective Statutory auditors of both the petitioner companies have been placed on record to the effect that Accounting Treatment proposed in the Scheme of Amalgamation is in conformity with the Accounting Standard notified by the Central Government as specified under the provisions of Section 133 of the Companies Act, 2013.

13. In view of the foregoing, upon considering the approval accorded by the members and creditors of the Petitioner companies to the proposed Scheme, and the affidavits filed by the Regional Director, Northern Region, Ministry of Corporate Affairs and the report of official

liquidator, there appears to be no impediment in sanctioning the present Scheme. Consequently, sanction is hereby granted to the Scheme under Section 230 & 232 of the Companies Act, 2013. The Petitioners shall however remain bound to comply with the statutory requirements in accordance with law.

14. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction accorded by this Tribunal to the scheme will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

15. While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

16. **THIS TRIBUNAL DO FURTHER ORDER:**

a) That all property, rights and powers of Demerged Undertaking be transferred without further act or deed, to the Resulting Company and accordingly the same shall pursuant to Section 232 of the Act, be

transferred to and vested in the Resulting Company for all intents, purpose and interest of the Demerged Undertaking subject nevertheless to all changes now affecting the same and;

b) That all the liabilities (if any) and duties of Demerged Undertaking of the Demerged Company be transferred without further act or deed, to the Resulting Company and accordingly the same shall pursuant to Section 232 of the Act, be transferred to and become the liabilities and duties of the Resulting Company; and

c) That no proceedings are pending by or against the Demerged Company be continued by or against the Resulting Company.

d) That the Petitioner Companies shall within thirty Days of the date of the receipt of this order cause a certified copy of this order delivered to the Registrar of Companies for registration and the Demerged Undertaking / Demerged Company shall be deemed to be Transferred.

e) That any person shall be at liberty to apply to the tribunal in above matter for any directions that may be necessary.

The petition stands disposed of in the above terms.

Sd/-

04.01.201

(M.M. KUMAR)
PRESIDENT

Sd/-

(S.K. MOHAPATRA)
MEMBER (TECHNICAL)

(Vidya)